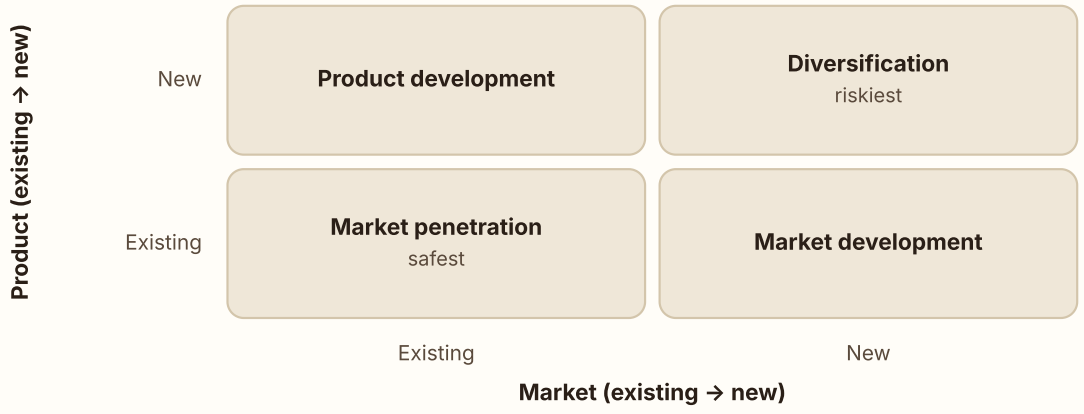
The Analyst's Toolkit

1. Strategy frameworks and when each fits

- **Porter's Five Forces**: rivalry, new entrants, substitutes, buyer power, supplier power → industry attractiveness
- **PESTEL**: political, economic, social, technological, environmental, legal → macro scan before entry
- **3Cs**: customers, company, competitors → quick first structure
- **Value chain**: activities from inputs to after-sales → where cost or advantage sits
- **Ansoff**: products × markets → growth options by risk
- **BCG matrix**: growth × relative share (stars, cash cows, question marks, dogs) → portfolio decisions
- **Three Horizons**: core today, emerging next, future options · **McKinsey 7S**: organisational alignment
- **SWOT**: a workshop summary; weak on its own because it lists facts without priorities or actions

✎ DIAGRAM



Ansoff: risk rises as you move away from what you know.

2. Financial analysis

- Revenue − COGS = **gross profit**; − operating expenses = **EBITDA** (proxy for operating cash profit)
- **Contribution margin** = price − variable cost per unit
- **Break-even volume** = fixed costs ÷ contribution margin (e.g. $10 price − $6 variable = $4; $2M fixed ÷ $4 = **500,000 units**)
- **Payback**: time until cumulative cash turns positive (ignores time value of money)

- **NPV**: future cash flows discounted at the cost of capital, minus the investment; positive creates value
- **IRR**: the discount rate at which NPV = 0; compare to the hurdle rate
- **CAC** (cost to acquire a customer) · **LTV** (lifetime margin) · rule of thumb LTV:CAC ≥ 3:1, CAC paid back in 12 to 18 months
- Always show **sensitivity**: 'this works as long as adoption exceeds 22%'

✎ DIAGRAM

```
Contribution = $10 − $6 = $4 per unit
Break-even = $2,000,000 ÷ $4
= 500,000 units
```

Break-even worked on a whiteboard.

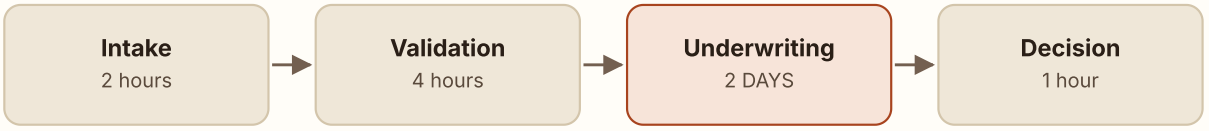
3. Research

- **Client interviews** (front-line staff often know the real cause) · **expert calls** via networks like GLG, AlphaSights, Third Bridge · **customer research** (interviews for why, surveys for how many) · **internal data** (profile it early) · **external data**
- Interview technique: a short guide from your issue tree, open broad then test hypotheses, ask for examples and numbers, close with 'what should I have asked?' and 'who else should I talk to?', write up within 24 hours
- **Triangulate**: confirm every key number two independent ways; when sources disagree, the gap is often the insight

4. Operations and organisation tools

- **Process mapping**: each step, owner, hand-off and wait time (waiting usually dwarfs working)
- **Lean's seven wastes**: transport, inventory, motion, waiting, overproduction, over-processing, defects
- **Bottleneck analysis**: output equals the capacity of the slowest step, so fix the constraint first
- **Benchmarking** · **cost baseline** · **zero-based budgeting** · procurement levers
- **Spans and layers** (reports per manager, levels to the front line) · **RACI** (Responsible, Accountable (one person), Consulted, Informed)

✎ DIAGRAM



Speeding up intake changes nothing while underwriting is the bottleneck.

SAY IT

"Break-even is fixed costs divided by contribution per unit, and I'd always show which assumption the answer is most sensitive to."